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Case Number: 25STCV29396 Hearing Date: August 18, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

LAWRENCE

A RETROSI, et al.,

Plaintiffs,

vs.

GENERAL

MOTORS, LLC,

Defendant.

Case No.:

25STCV29396

Hearing

Date:

August 18, 2026

ORDER

OVERRULING DEMURRER TO COMPLAINT AND GRANTING MOTION TO STRIKE

I. BACKGROUND

Plaintiffs Lawrence A Retrosi ("Lawrence") and Annastacia L Retrosi ("Annastacia") entered into a warranty contract with Defendant General Motors, LLC ("GM") regarding a 2022 Chevrolet Trailblazer ("subject vehicle"). The subject vehicle allegedly has defects and nonconformities making the car effectively worthless. GM failed to replace the vehicle or reimburse Plaintiffs. Plaintiffs sued GM for five causes of action including fraudulent inducement – concealment.

On January 29, 2026, GM filed the instant demurrer with motion to strike as to Plaintiffs' fifth cause of action fraudulent inducement – concealment. Plaintiffs filed an opposition. GM filed a reply.

II. LEGAL STANDARD

Code of Civil Procedure section 430.10[1] states: "The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: (a) The court has no jurisdiction of the subject of the cause of action alleged in the pleading; (b) The person who filed the pleading does not have the legal capacity to sue; (c) There is another action pending between the same parties on the same cause of action; (d) There is a defect or misjoinder of parties; (e) The pleading does not state facts sufficient to constitute a cause of action; (f) The pleading is uncertain. As used in this subdivision, uncertain includes ambiguous and unintelligible; and (g) In an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct."

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As

such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where

a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment.

(Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.)

However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

III. DISCUSSION

GM

requests the Court sustain the demurrer as to the fifth cause of action as it is insufficiently pled, barred by the economic loss rule, and barred by the statute of limitations, and grant the motion to strike as to Plaintiffs' request for civil penalties.

A. Statute of Limitations

GM first requests the Court sustain the demurrer as to the fifth cause of action for Fraudulent Inducement – Concealment on the basis it is barred by the statute of limitations. Under Code of Civ. Proc. section 338, subdivision (d), an action based in fraud has a three-year statute of limitations accruing from “the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” A plaintiff must exercise reasonable diligence in discovering any alleged fraud. (Seelenfreund v. Terminix of Northern California, Inc. (1978) 84 Cal.App.3d 133, 136.)

Plaintiffs allege they entered into a warranty contract on August 26, 2022. (Complaint ¶ 6.) However, Plaintiffs could not have reasonably discovered any alleged fraud prior to delivery of the vehicle. Plaintiffs do not allege when the subject vehicle was delivered; therefore, the Court cannot establish the earliest possible date Plaintiffs

could have discovered the fraud. Additionally, Plaintiffs explicitly allege they did not discover GM's fraud until August 20, 2025, as the vehicle continued to exhibit symptoms of defects following GM's attempts to repair it. (Complaint ¶ 24.) The complaint was filed within 3 years of the alleged discovery.

Therefore, GM's argument the complaint provides, on its face, a basis to demur based upon the statute of limitations is without merit.

B. Failure to Plead

GM

next demurs to the fifth cause of action for Fraudulent Inducement – Concealment for failure to allege facts sufficient to state the cause of action, pursuant to section 430.10, subd. (e). “The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40.)

1. Specificity

GM

argues Plaintiffs fail to allege, with particularity, the allegedly concealed defect, as Plaintiffs do not state the exact details of the defect.

California's fact pleading standard requires the plaintiff to plead with sufficient specificity to “furnish the defendant with certain definite charges which can be intelligently met.” (Committee on Children's Television, Inc. v. General Foods Corp. (1985) 35 Cal.3d 197, 216.) The

specificity requirement is relaxed when, from the nature of the allegations, it appears “the defendant must necessarily possess full information,” or “when the facts lie more in the knowledge of the opposing parties.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384-85, internal quotations omitted; Tarmann v. State Farm Mutual Auto-Mobile Ins. Co. (1992) 2 Cal.App.4th 153, 158.) Details are to be the subject of discovery. (See Alfaro, supra, at 1385.)

GM specifically cites to Santana

v. GM US LLC (2020) 56 Cal.App.5th 334, 345. In Santana, the court overruled a jury ruling finding defendant car warranty provider liable for fraudulent concealment, as there was insufficient evidence said defendant was aware of defects prior to the plaintiff purchasing the vehicle. (Id. at 338.) The court held defendant could not be liable absent evidence that, prior to purchase of the vehicle, defendant was aware of the defect and was either unwilling or unable to fix it. (Id. at 345-346.) The Court finds Santana unrelated to the issues presented on demurrer. Santana addresses the evidentiary burden to impose liability for fraudulent concealment; demurrer tests whether sufficient facts have been alleged within the complaint to present a viable cause of action. Santana also does not address the existence of a defect, but rather whether the defendant was aware of the defect.

Here, Plaintiffs' cause of action for fraudulent inducement specifically identifies the subject vehicle's 1.2L engine and/or related components suffer from defects that can result "loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine." (Complaint ¶ 47.) The complaint further alleges GM knew or should have known about these engine defects due to internal data, consumer complaints, testing, and other internal sources. (Complaint ¶¶ 56-57.) Plaintiffs asserted a general problem—the subject vehicle's engine—of which GM would have superior knowledge of facts regarding defects. Plaintiffs also alleged where GM would obtain said superior knowledge. Further details are the subject of discovery. Plaintiffs sufficiently alleged concealment or suppression of a material fact.

2. Duty to Disclose

GM

next argues Plaintiffs failed to allege GM had a legal duty to disclose the alleged defect. Nondisclosure or concealment may constitute actionable fraud in four circumstances: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material fact." (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.) A duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff. (Jones v. ConocoPhillips Co. (2011) 198

Cal.App.4th 1198, 1199.)

GM

claims, in part, GM had no duty to disclose as GM had no fiduciary relationship with Plaintiffs. Ordinarily, a duty to disclose absent a fiduciary relationship “presupposes the existence of [a] relationship between the plaintiff and defendant in which a duty to disclose can arise.” (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) However, a vendor has a duty to disclose material facts “not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (*OCM Principle Opportunities Fund v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859-860.)

The duty to disclose to subsequent purchasers is limited: the plaintiff must show that the seller had special “reason to expect” that the fraud will be passed onto subsequent purchasers. (*Geernaert v. Mitchell* (2007) 31 Cal.App.4th 601, 607-608.) Mere foreseeability is insufficient. (*Id.* [citing *Restatement (Second) of Torts § 305, cmt. d (1977)*].) In determining whether the seller had “reason to expect” that the fraud will be passed onto subsequent purchasers, courts generally consider two factors: “(1) the extent of the seller’s knowledge of resale to a particular person or class of persons and (2) the likelihood that the particular misrepresentation (or concealment) would be passed on to them.” (*Id.* at 608.)

Here, the complaint alleges GM manufactured and/or distributed the subject vehicle with a defect that GM and its’ agents failed to disclose at the time of purchase. (Complaint ¶¶ 6, 51.) In addition, the complaint alleges “...prior to sale of the subject vehicle, GM knew, or should have known, about the Engine Defect through its exclusive knowledge of non-public, internal data about the Engine Defect...” (Complaint ¶ 51.) The complaint also alleges GM and GM’s agents concealed the defects and minimized the scope of the defects to drivers or potential purchasers. (Complaint ¶¶ 51, 62.) Plaintiffs sufficiently alleged facts showing GM had a reasonable expectation the fraud would be passed to subsequent purchases. The pleadings have adequately pled GM’s duty of disclosure.

Plaintiffs’ complaint adequately pleads facts to support a cause of action for fraudulent inducement – concealment. The Court overrules the demurrer on this basis.

C. Economic

Loss Doctrine

GM finally demurred to the fifth cause of action for

Fraudulent Inducement – Concealment on the basis that the economic loss doctrine bars the cause of action, as Plaintiffs did not allege any damages to person or property sustained from violation of duty beyond the scope of the contract. The economic loss rule provides a purchaser of a product that does not live up to the buyer's expectations can only recover in contract and not tort, unless "[the purchaser] can demonstrate harm above and beyond a broken contractual promise." (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130 (quoting *Robinson Helicopter Company, Inc. v. Dana Corporation* (2004) 34 Cal.4th 979, 988).) Conduct constituting a breach of contract may become tortious if it also violates a duty independent of the contract arising from principles of tort law or arises from conduct that is both intentional and intended to harm. (*Robinson Helicopter, supra*, at 990.) A tort claim for fraud must be sufficiently independent from a breach of contract claim for which the plaintiff suffered economic loss. (*Id.* at p. 991.)

Although non-binding, *Dhital v. Nissan North America*

(2022) 84 Cal.App.5th 828 is insightful. In *Dhital*, plaintiffs sued Nissan, a car manufacturer, for Song-Beverly violations and fraudulent inducement. The plaintiffs alleged the transmission was faulty, placing plaintiffs at risk of physical harm. (*Id.* at 834.) However, at no point did the plaintiffs allege any personal injury or property damage. (*Ibid.*) Plaintiffs alleged Nissan concealed defects it had a duty to disclose to induce the purchase. The appellate court held that the fraudulent inducement claim was not barred by the economic loss doctrine:

"To hold, at the demurrer stage, that plaintiffs' fraud claim is barred by the economic loss rule, we would need to conclude, as Nissan urges us to do, that (1) despite the Supreme Court's statement in *Robinson*, there is no exception to the economic loss rule for fraudulent inducement claims (or at least no exception that encompasses the claim plaintiffs allege in the SAC), or (2) plaintiffs have not adequately pleaded a claim for fraudulent inducement under California law (a question we address in pt. II.C., post). We reject both arguments and conclude the economic loss rule does not bar plaintiffs' claim." (*Id.* at 839.)

Here, the Court also has no basis to stray from the Supreme

Court's Robinson ruling that there are exceptions to the economic loss rule for at least some fraudulent inducement claims. (See Robinson, *supra*, at 989-990.) The Court concluded Plaintiffs adequately pled a claim for fraudulent inducement under California law. As there exists an independent basis, outside of breach of contract or warranty, for Plaintiffs to pursue this cause of action, the Court finds it is not barred by the economic loss rule.

The Court finds no basis to sustain any portion of the complaint. Therefore, the Court OVERRULES the demurrer.

D. Motion
to Strike

GM requests the Court strike Plaintiffs request for civil penalties as Plaintiffs fails to allege any facts establishing compliance with the 30-day written pre-suit notice and vehicle retention required by section 871.24, subdivisions (a) and (c). Pursuant to section 871.24, subdivision (a), at least 30 days prior to commencement of an action seeking civil penalties under Civil Code section 1794, et seq., the consumer must: 1) notify the manufacturer, via written notice, of the consumer's name, accurate VIN of the subject vehicle, and a brief summary of the repair history and problems with the motor vehicle, and 2) demand the manufacturer repurchase or replace the vehicle.

The complaint clearly alleges Plaintiffs requested buyback and/or restitution on August 20, 2025, at least 30 days prior to the written suit. (Complaint ¶ 24.) However, Plaintiffs have not alleged any written notice in compliance with section 871.24 was provided to GM prior to filing suit. Therefore, Plaintiffs have not adequately pled compliance with all requirements to seek civil penalties. The Court strikes Plaintiffs requests for civil penalties pursuant to Civil Code 1794, et seq.

The burden is on the pleading party to show in what manner he can amend the complaint, and how that amendment will change the legal effect of the pleading. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349; Hendy v. Losse (1991) 54 Cal.3d 723, 742.) Plaintiffs have not filed an opposition to the motion to strike or otherwise addressed these arguments in the opposition to demurrer. Therefore, the Court assumes Plaintiffs cannot adequately amend the pleadings to seek civil penalties

pursuant to Civil Code 1794, et seq. The Court does not grant leave to amend.

IV. CONCLUSION

Defendant

General Motors, LLC's demurrer to Plaintiffs' complaint is OVERRULED.

Defendant

General Motors, LLC's motion to strike is GRANTED. The Court strikes all requests for civil penalties, without leave to amend.

Plaintiffs are ordered to give notice.

DATED:

August 18, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative

ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated

statutory references are to the Code of Civil Procedure.